2. **Systematic Withdrawal Plans Or SWPs**

Systematic withdrawal plans (SWPs) are, in a way, the reverse of SIPs. In a SWP, instead of putting money in the fund, the investor redeems a fixed amount from his investment on a predetermined date every month.

Just like SIPs help tide over market volatility by averaging out costs during good and bad times, exactly in the same way, it is difficult to predict the right time to withdraw money from the market, and a systematic withdrawal plan averages out your returns from the market, and helps overcome the mistakes made by trying to time the market.

SWPs help an investor customize the cash flow to suit his needs. This is useful if the investor does not have any other source of income.

3. **Systematic Transfer Plan Or STPs**

STP is a plan that allows investor to give consent to the Mutual Fund house to periodically transfer a certain amount/ switch(redeem) certain units from one scheme and invest in another scheme. Thus at regular intervals an amount/number of units you choose is 'transferred' from one mutual fund scheme to another of your choice.

This helps ensure that your money is unaffected by any market volatility in the short term. Bearing in mind that investing in equities at one go could be risky, you can choose to park your funds in liquid or debt funds, reducing the downside risk. This facility thus helps in deploying funds at regular intervals.

Whether you start via SIPs or STPs, it is important to get started with Mutual Funds as your real first step to beat inflation.